

financial planner suggests a moderate allocation using a 40 percent stock and 60 percent bond portfolio.

[Table 13-2](#) is a replay of the stress test. This time it is benchmarked to a 40 percent stock and 60 percent bond portfolio. The woman starts with \$300,000 in December 1999, withdraws \$1,000 per month, and the portfolio is expected to be rebalanced back to a 40 percent stock and 60 percent bond target allocation at the end of each year.

At its low point in September 2002, the market value of the 40 percent stock and 60 percent bond portfolio is \$249,585. However, only \$17,415 of the reduction is due to poor market conditions. The rest is the cumulative withdrawals from the portfolio. The woman is more comfortable with the portfolio and decides that a 40 percent stock and 60 percent bond mix is appropriate for her risk tolerance.

TABLE 13-2

Stress Test 2: 40 Percent Stocks and 60 Percent Bonds, 2000–2002; Start with \$300,000

Quarter End	Vanguard Total U.S. Stock Fund	Vanguard Total Bond Fund	40% Stocks	60% Bonds	Total Investment Gain/Loss	Total Withdrawn @ \$1,000/ Month	Ending Value
Dec. 1999			120,000	180,000			300,000
Mar. 2000	3.84%	2.42%	123,108	182,856	5,964	3,000	302,964
June 2000	−4.39%	1.48%	116,204	184,062	3,266	6,000	297,266
Sept. 2000	0.27%	3.07%	115,017	188,213	9,230	9,000	300,230
Dec. 2000	−10.17%	3.98%	101,820	194,204	5,024	12,000	293,024
Mar. 2001	−12.27%	3.24%	101,328	180,011	(6,661)	15,000	278,339
June 2001	7.47%	0.79%	107,397	179,933	2,330	18,000	284,330
Sept. 2001	−15.93%	4.29%	88,789	186,152	(7,059)	21,000	271,941
Dec. 2001	12.32%	−0.08%	98,228	184,503	3,731	24,000	279,731
Mar. 2002	0.97%	0.06%	111,478	166,439	1,917	27,000	274,917
June 2002	−12.69%	2.80%	95,831	169,599	(7,570)	30,000	262,430
Sept. 2002	−16.84%	3.71%	78,193	174,391	(17,415)	33,000	249,585
Dec. 2002	7.82%	1.47%	82,808	175,455	(8,737)	36,000	255,263

Would the 40 percent stock and 60 percent bond portfolio decision have saved the women from selling stocks some time during the 57 percent market decline that took place between October 2007 and March 2009? That is hard to say. I can only speak from experience with my own clients when I say that the *probability* of capitulation was much lower with a 40 percent stock allocation then if she had invested 70 percent in stocks. A 70 percent stock allocation would have created too much stress, and the